Pakistan studies



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Chapter 5



In the name of Allah, the Most Merciful, the Most Kind

Economic Development of Pakistan

Agriculture



Crops

- Rice, sugarcane, cotton, maize, moong, mash, bajra and jowar **are “Kharif" crops. "Rabi", the second sowing season, begins from October to December and is harvested from April to May. Wheat, gram, lentil (masoor), tobacco, rapeseed, barley and mustard are "Rabi" crops.**
- Pakistan is an agricultural country and agriculture is considered the backbone of Pakistan’s economy. Pakistan’s principal natural resources are arable land and water. Agriculture accounts for about 18.9% of Pakistan’s GDP and employs about 42.3% of the labor force. The country’s major crops are:
- Wheat
- Cotton
- Rice
- Sugarcane
- Maize
- About 25% of Pakistan’s total land area is under cultivation and is cropped multiple times. The country has 2% of the world’s arable land with 96% of it located in the Indus Plain. Pakistan is the world’s 10th largest producer of rice and 7th largest producer of wheat.

Livestock

- Livestock is an important section of agriculture in Pakistan. Which account for 37.5% of the value of agriculture sector and contributes about 10% to the national output of Pakistan. It is a source of foreign exchange earnings for Pakistan. Livestock includes cattle, buffaloes, sheep, goats, camels, horses, donkeys, mules and poultry. The livestock product are milk, beef, mutton, poultry meat, wool, hair, fate, skins, etc. Fish farms are also source of livestock.

Occupation

- The main industries in Pakistan are **construction, electricity, textile manufacturing, food processing and technology**.
- Pakistan s 75% of population lives in rural areas and small towns. They are mostly shop owner’s laborers in agriculture lands brokers in selling crops
- Labor force by occupation Agriculture: 37.4% Industry: 25.4% Services: 37.2%. Pakistan's economy has three main sectors – agriculture, manufacturing and services. The largest sector, services, accounts for 61 per cent of GDP, led by wholesale, retail, transport and communications. And Agriculture includes farming, fishing, and forestry. Industry includes mining, manufacturing, energy production, and construction Services.

Manufacturing industry

- Industry is work and process involved in the marketing of things in factories. It refers to manufacture of things through manual or mechanical methods. Terms of industry means preparation of commodities from raw materials which are of some utility to human being, add to comfort through easy and quick preparation of thinks.

- **In Pakistan industry can be categories as under**
- Cottage and small industry
- Heavy industry
- Defence industry

The cottage and small industries of Pakistan

- Carpet industry, cotton Handlooms, Leather Tanning, Sports goods, cutlery, Embroidery and needle work. These industries are spread all over the country.
- **Heavy industry**
- Textile industry, sugar industry, cement industry, vegetable ghee and cooking oil industry, chemical fertilizer industry, they produce a huge quantity for export and local.
- **Defence industry**
- Iron and steel industry**,** Pakistan steel mill, Karachi, heavy mechanic complex, taxila, ship building industry, arms and ammunition industry. These industries play role very well.

Transport system

- Pakistan has all the three means of communication, namely roads, sea and air.
- **Roads:** Roads are an important source of communication and transport in Pakistan. Road links different cities with each other. Roads are used for travel and transportation of goods.
- **Railways:** After the establishment of Pakistan, Railways played a significant role in providing travel and transportation facilities. It is comparatively safer to travel by railway than by road and quicker as well. The railways comprise 7791 route kilometers, 815 stations.

Transport system

- **Airways:** Access to some parts of Pakistan is possible by air travel. Air travel is a quick means of travel. Distances are covered in hours. Airways in Pakistan was established in 1955, known as Pakistan international airline (PIA). Pakistan has 44 airports which 37 are operational. Pakistan international airline network is linked with all important countries of the world. And Pakistan has many airlines, these works inside the country as a domestic airline.

Transport system



Waterways or Sea routes

The majority of all cargo delivered in the world is transported by sea. The technical features of cargo vessels make it possible to carry crude oil, petroleum products, chemical industry products, condensed gas, raw materials, equipment, cars, livestock and many other types of cargo. Pakistan has developed three main seaport, Karachi port, Bin Qasim port and Gawader port.

Transport system

- A Pakistan National Shipping Corporation (PNSC) was established in 1963. This corporation acquired many new ships and repaired and reconditioned the old ones. Trade economics and commercial links have been established with different countries and still going on.

Economic Development and Challenges in Pakistan

- **Basic Terms Used in Economics**
- Financial markets. The term 'financial markets,' is a fairly broad one, referring to a marketplace where financial assets can be bought and sold.
- Gross Domestic Product (GDP)
- Gross National Product (GNP)
- Interest rates
- Inflation
- Economic Growth
- Security
- Bear Market.
- Supply and demand.
- Shortage
- Opportunity cost.
- Time value of money.
- Purchasing power

The economic system
Basic features of Pakistan's economy and infrastructure.

- Pakistan is a **low income developing country**. Its economy is the 23rd-largest worldwide in terms of GDP based on purchasing power equality. According to a 2021 estimate, the Country has a population of 227 million people (5th-largest worldwide).
- With a large population, majority of which is young, Pakistan is a consumption oriented economy. Consumption, investment and exports are the drivers of the country with exports being the biggest driver of economic growth. Most of Pakistan's exports are to Afghanistan, United States of America, United Arab Emirates, European Union, the United Kingdom and the Middle East.

Economic Development planning in Pakistan

- The history of national economic planning in Pakistan is divided in the following periods: · **Period of economic coordination.**

- **The first, second and third five-year plans.**
- **The first five-year plans** were approved by the Prime Minister **Liaqut Ali Khan** in 1950 for the period of 1950–55.it was accepted in a view to serve in the rapid and increase **industrialization**, growth of **banking** and **financial services**, with a major focus on **heavy industry**. Although not five-year plans did not take up the full period of time assigned to them, some of the plans were failed and some completed successfully.

Second Five-Year Plans (1960–1965)

- Despite the failure of the first five-year plans, the programmers were revived and restated by the military government of **President Ayub Khan** The second five-year plans gave highest priority to heavy industrial development, and advancement in literature and science, and had a single fundamental purpose: "to advance the country as far as possible, within the next five years, along the road of these long-range objectives. Further improvements were made in railways, communications, and transportation. More attention was given to private sector industrial development and agricultural industries; the second five-year plans aimed to increase the national income by 20%. The unemployment was tackled with the industrialization of the country, and overall major industrial development was carried out in West Pakistan while few in East. The second five-year plans oversaw the development of water and power utilities in East and West Pakistan and had energy sector built with the help from private-sector.

Third Five-Year Plans (1965–1970)

- After the 1965 Indo-Pakistani War over Kashmir, the level of foreign assistance declined and economic control were imposed on Pakistan. The third five-year plan was designed along the lines of its immediate previous things, produced only modest growth The third programmed focused on Gross national product (GNP) growth which was increased at 122% and had focused on the increase the capabilities of private sector to operate in the country. The size of the third programmed was determined in the light of a careful evaluation of the recent experience under the second programmed. Although the third programmed successfully ran for the first three years of the Third Five-Year Plan Dramatically, the agriculture growth clearly declined and hopelessly demolish the farming class of the country.

Pakistan's development planning experience during the short term planning period: 1970-77

- Planning Process for Economic Growth in Pakistan. On 2 January 1972 Bhutto announced the nationalization of all major industries, including iron and steel, heavy engineering, heavy electrical, petrochemicals, cement and public utilities. A new labor policy was announced increasing workers' rights and the power of trade unions. Bhutto started a programmed of nationalization of industries.

- Sugar, cotton, vegetable oil and rice industries, together with the banking and insurance sectors were taken under government control.
- 70 industrial units were placed under Federal Ministry of Production.
- This helped control industrial output and channel investment into industrialization.

- This also helped to raise the workers living and working standards.
- This also allowed workers to set up unions.
- To distribute the wealth that had collected in few Industrial houses.
- Wealth was created to fund other government reforms.
- Inflation fell from 25% to just 6% in 1976, economic growth began.

Agriculture development in Pakistan and reform

- Agricultural development is described as the process of creating the situation for agricultural potential to be realized. The growth of knowledge and the availability of technology, as well as the allocation of inputs and outputs, are among these conditions. Agricultural development is beneficial to planting crops, harvesting, and processing for safer food conditions. Over 70% of the population in rural or developing areas depend on agriculture as a source of income. Food security keeps agricultural development maintained and profitable. Topography, soil and climate are the main physical factors affecting agriculture. Topography/relief: Topography is associated with land cultivation difficulties, soil erosion, and poor transport networks and facilities. Agriculture can be mechanized, depending on the topography of the land used.

Industrial development in Pakistan and labor trade unions

- At the time of independence, Pakistan has inherited only 34 industrial units out of 921 industrial units in subcontinent. They were cotton textile, cigarettes, sugar, rice husking, cotton ginning and flour milling industries; and together they contributed only 7% of GDP and employed a little over 26,000 employees.
- During this period, a new democratic government of Bhutto came into power and adopted the principles of mixed economy.